

Unit 3 – Section 2: Business Growth

Quick-Fire & IAL-Style Teacher Pack

Topic 1: Growth

Quick-Fire Questions

1. Define business growth.
2. Explain one internal and one external reason why businesses choose to grow.
3. Identify one benefit of business growth.
4. Define economies of scale.
5. Explain one type of internal economy of scale (e.g. technical or purchasing).
6. Explain one diseconomy of scale that may occur as a business expands.
7. Explain how growth can lead to increased market power.
8. Identify one risk associated with rapid expansion.

IAL-Style Exam Tasks

- Explain one benefit to a business such as Tesco of achieving economies of scale. [4]
- Evaluate whether growth always leads to improved efficiency and profitability. [20]

Plenary Question

Does bigger always mean better in business? Use real-world examples to justify.

Topic 2: Organic Growth

Quick-Fire Questions

9. Define organic (internal) growth.
10. Identify one method of organic growth.
11. Explain one advantage of organic growth.
12. Explain one disadvantage of organic growth.
13. Explain how brand loyalty can help drive organic growth.
14. Identify one reason why organic growth might be slower than external growth.
15. Define market share and explain how it links to growth.

IAL-Style Exam Tasks

- Explain one benefit of organic growth for a business such as Greggs. [4]
- Assess whether organic growth is the most sustainable strategy for long-term expansion. [8]

Plenary Question

Why might slower growth sometimes be safer growth?

Topic 3: Mergers & Takeovers

Quick-Fire Questions

16. Define a merger.
17. Define a takeover.
18. Explain one difference between horizontal and vertical integration.
19. Explain what is meant by synergy.
20. Explain one potential benefit of a merger for shareholders.
21. Explain one risk of mergers or takeovers for employees.
22. Define diversification in the context of integration.
23. Explain one reason why some takeovers fail.

IAL-Style Exam Tasks

- Assess the benefits of a horizontal merger for a business such as Amazon or Vodafone. [8]
- Evaluate whether mergers and takeovers are the best method of achieving growth. [20]

Plenary Question

Is synergy a reality or just a buzzword? Discuss with examples.

Topic 4: Reasons for Staying Small

Quick-Fire Questions

24. Explain what is meant by a small business.
25. Identify one reason why a business might choose to remain small.
26. Explain how being small can provide a competitive advantage.
27. Explain one benefit of focusing on a niche market.
28. Identify one challenge faced by small businesses in growing markets.
29. Explain how flexibility and customer relationships benefit small firms.
30. Explain one limitation of remaining small in a competitive industry.

IAL-Style Exam Tasks

- Explain one reason why a small business like Lush or BrewDog may choose to stay small. [4]
- Discuss whether remaining small can be a long-term strategy for success. [12]

Plenary Question

Can small really be powerful? Justify with examples.